

CEG Q2 2026 Earnings Call - Full Transcript

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[00:00:00.24] Good morning, ladies and gentlemen, and welcome to the Constellation Energy Corporation second
[00:00:04.08] quarter earnings conference call. At this time, all participants are on a listen-only
[00:00:07.96] mode. Later, we will conduct a question and answer session, and instructions will follow
[00:00:11.44] at that time. As a reminder, this call is being recorded. I would like to introduce today's
[00:00:16.16] call. Tim Flatenmash, Vice President Investor Relations, you may begin.
[00:00:21.08] Thank you, Kevin. Good morning, everyone, and thank you for joining Constellation Energy
[00:00:25.12] Corporation's second quarter earnings conference call.
[00:00:28.56] Leading the call today are Joe Dominguez, Constellation's Chairman, President, and Chief
[00:00:32.60] Executive Officer, and Shane Smith, Constellation's Chief Financial Officer. They are joined by
[00:00:37.96] other members of Constellation's senior management team who will be available to answer your
[00:00:42.00] questions following our prepared remarks. We issued our earnings release this morning
[00:00:46.92] along with the presentation, all of which can be found on the Investor Relations section
[00:00:51.16] of Constellation's website. The earnings release and other matters which were discussed
[00:00:55.76] during today's call contain forward-looking statements and estimates regarding Constellation
[00:01:00.28] subsidiaries that are subject to various risks and uncertainties. Actual results could differ
[00:01:06.92] from our forward-looking statements based on factors and assumptions discussed in today's
[00:01:10.88] material and comments made on the call. Please refer to today's 8K and Constellation's
[00:01:17.04] other SEC filings for discussions of risk factors and other circumstances and conditions
[00:01:22.36] that may cause results to differ from management's projections, forecasts, and expectations.
[00:01:27.44] Today's presentation also includes references to adjusted operating earnings and other non-GAP
[00:01:32.76] measures. Please refer to the information contained in the appendix of our presentation
[00:01:37.88] and our earnings release for reconciliations between non-GAP measures and the nearest equivalent
[00:01:43.52] GAP measures. I'll now turn the call over to Joe.
[00:01:46.20] Thanks, Tim. Good morning, everyone. Thanks for joining our call and for your continued
[00:01:51.32] interest in Constellation. We've got a terrific update for you today. Strong results, an
[00:01:58.32] increase in guidance, positive regulatory developments, and good progress on strategic
[00:02:04.24] transactions. But as always, we want to start off with the most important part of our business,
[00:02:09.88] our people. First, let me begin by recognizing Bob Lawless, who this week retired from Constellation's
[00:02:16.96] board after more than 25 years of spectacular service to Constellation and its predecessors
[00:02:23.96] as a board member. From Constellation's early years as a stand-alone company, through our
[00:02:30.04] time as part of Exelon, and in the years since our separation, Bob has played a critical
[00:02:36.14] role in helping to position the company for the long-term success we enjoy today. He is
[00:02:42.44] one of a kind. On behalf of all of us at Constellation, I want to thank Bob for his leadership, his
[00:02:49.44] guidance, his friendship, and his dedicated service. We wish him all the best in retirement.
[00:02:55.44] Godspeed, Bob. Next, I want to thank the women and men of
[00:03:00.00] Constellation for delivering another strong quarter operationally and financially. During
[00:03:07.08] the mid-Atlantic heat wave ahead of the Fourth of July holiday, our employees delivered,
[00:03:13.28] achieving a nuclear capacity factor above 99 percent while safely managing our dispatchable
[00:03:19.68] generation fleet through challenging operating conditions as the new organization came together
[00:03:25.52] effectively. Their dedication and execution helped sustain grid reliability when our customers
[00:03:32.76] and communities needed it most. Constellation is a special company, and we pride ourselves
[00:03:40.44] in making our company a place where people want to spend a career doing important work
[00:03:45.32] for America. So we're especially gratified that Constellation has been named a great
[00:03:50.86] place to work for the fourth year in a row. As you know, this certification is meaningful
[00:03:57.22] because the recognition can only be earned through the direct input of our people. I'm

[00:04:03.58] also pleased to report to you that for the first time, Constellation has been recognized
[00:04:08.46] as a world's top business for people with disabilities. And finally, we were extraordinarily
[00:04:14.98] pleased to receive the points of light honor as one of the nation's 50 most community-minded
[00:04:21.46] companies based upon the positive impact we make every day through volunteerism and
[00:04:28.46] investment in our communities. Now, I know that some may think that these awards and
[00:04:35.70] recognitions are nice, but maybe not quite as important as the financial and operational
[00:04:42.54] results that we'll talk about in just a moment. We don't see it that way. We think our values
[00:04:49.94] are the most important things. And when I talk in a few minutes about what it takes
[00:04:54.62] to restart Crane and get the overwhelming public support, which we have, and do in a
[00:05:00.90] place known for the worst moment in U.S. nuclear history, then I think you will come to understand
[00:05:07.42] why we believe our adorable community values matter so much to our business. Now, turning
[00:05:13.50] to the quarter and our financial results, we delivered second quarter GAAP earnings
[00:05:19.10] of \$1.42 per share and adjusted operating earnings of \$2.55 per share. Given our team's
[00:05:28.34] strong commercial and operational performance year to date, we are increasing our operational
[00:05:35.02] earnings guidance range by \$0.50 to \$1,150 to \$1,250 per share. Our operating earnings
[00:05:43.58] midpoint is now what used to be the top end of the guide, and we still have many opportunities
[00:05:49.82] to deliver more value this year. Shane will talk through the details in his remarks. Since
[00:05:58.00] our business and earnings outlook in March, we have made meaningful progress across several
[00:06:04.20] key focus areas, reinforcing our confidence in delivering long-term value for our owners.
[00:06:11.20] In March, I candidly shared that we were behind our targeted timeline for completing
[00:06:18.92] long-term agreements due to new uncertainty in the regulatory environment. I told you
[00:06:26.48] that we were hopeful that PJM, under FERC's oversight, would move quickly to provide needed
[00:06:33.04] clarity so that work critical to our nation's future might proceed forward. I know that
[00:06:40.04] many were skeptical that reforms could be accomplished quickly and feared that the PJM
[00:06:45.92] process would drag on for years, something we have unfortunately seen in the past. But
[00:06:53.48] those concerns have not materialized. Instead, we are seeing PJM, prompted by FERC, move
[00:07:01.60] at the necessary speed. And while additional work remains for PJM to get the details right,
[00:07:09.72] I am pleased to report that the progress is giving customers greater confidence to evaluate
[00:07:15.12] long-term solutions and move forward with planning and contracting activities. Since
[00:07:22.32] the last call, we have signed approximately 920 megawatts of long-term nuclear deals that
[00:07:29.96] are consistent with our view of long-term value. These contracts have an average duration
[00:07:37.08] of 18 and a half years and are with investment grade customers. Now, as we talked about and
[00:07:45.08] as I explained to you last quarter, we will continue to follow our customers' lead on
[00:07:50.68] how and when their agreements are disclosed so that they may protect their procurement
[00:07:56.56] strategies. Turning to crane, important progress has also been made on the restart. During
[00:08:04.56] the quarter, the NRC approved the Crane New Fuel Licensing Amendment Request, clearing
[00:08:11.00] the path for the receipt of new fuel and representing another significant milestone towards returning
[00:08:19.14] the facility to service in the second half of 2027. In addition, FERC granted the waiver
[00:08:25.88] request to transfer the capacity injection rights from our Eddystone facility, which
[00:08:31.48] is slated to close, to Crane. We expect that this transfer will help clear many of the
[00:08:38.52] transmission contingencies identified in PJM's initial deliverability review and will pave
[00:08:45.84] the way for Crane to deliver full value to the grid. Further strengthening the value
[00:08:53.26] and unique long-term durability of our nuclear fleet, we continue to extend the lives of
[00:08:59.64] our clean energy centers. During the quarter, we filed subsequent license renewal applications
[00:09:06.76] for both the Ganoe and Nine Mile Point One clean energy centers. These extensions were
[00:09:14.76] made possible by Governor Hochul and the New York Service Commission, recognizing the value
[00:09:20.60] of clean, reliable nuclear energy and extending the ZEC program, advancing our strategy to
[00:09:27.32] preserve these critical assets for New York and for America. As a reminder, these programs
[00:09:33.90] and license extensions mean that Constellation is truly in a unique space, with the vast
[00:09:41.14] majority of our power generation secured through 2050 and beyond. Integration with Calpine
[00:09:49.28] is progressing well, and we are seeing strong collaboration across the combined organization
[00:09:55.56] as teams identify opportunities to create additional value for you. In addition, we
[00:10:01.52] are pleased to have reached an agreement with LS Power to sell the Brazos Valley Energy
[00:10:07.16] Center. Following regulatory approvals and closing, the sale will satisfy the final DOJ

[00:10:14.64] requirement tied to the Calpine acquisition. The fact that smart private equity buyers [00:10:22.61] with long track records in competitive power markets are willing to pay over \$1,400 a KW [00:10:30.33] for Texas assets in a soft ERCOT market should tell you everything you need to know about [00:10:36.93] the value of the efficient gas fleet that we now own. Finally, we continue to execute [00:10:43.57] on our capital allocation strategy. Year to date, we have deployed approximately \$2.2 [00:10:49.97] million toward opportunistic and accretive share repurchases. Shane will talk about [00:10:55.81] it, but we already are seeing upside to our earnings from these buybacks.

[00:11:03.09] Turning to slide 6, as I mentioned at the outset, we executed this quarter on 920 MW [00:11:09.93] of long-term contracts for nuclear power. While I can't disclose pricing, what I can [00:11:16.13] say is that the deals recognize the value of existing clean and reliable nuclear energy [00:11:22.41] as a premium product. After a successful quarter in signing deals, we have now contracted roughly [00:11:31.41] 30% of our clean base load output under long-term agreements and our transactional pipeline [00:11:39.09] for future deals is both robust and active. Taking an additional moment on the deal that [00:11:45.73] was announced this quarter with our partner Walmart, I wanted to mention that Walmart [00:11:50.97] has a long history of supporting clean energy development, but this agreement represents [00:11:57.57] their first nuclear power purchase agreement and the first transaction of its kind for [00:12:03.53] a major retailer. Walmart is helping to define how corporate customers think about nuclear [00:12:10.33] energy, reflecting a growing recognition that achieving ambitious decarbonization goals [00:12:16.93] requires access to around-the-clock carbon-free generation. This transaction is only the beginning [00:12:24.29] of a wonderful partnership with this iconic American company. The Walmart deal, taken [00:12:31.21] together with the others this quarter, reinforces the broad appeal of our products and capabilities [00:12:37.93] to customers of all kinds. Moving to slide 7, I want to provide some additional context [00:12:46.22] on regulatory developments that are improving the backdrop for customer contracting. In [00:12:52.30] June, we received strong validation from FERC, which made clear its desire to move more quickly [00:12:59.38] in establishing new pathways for serving large loads. FERC ordered every RTO to justify how [00:13:07.14] their existing tariffs provide for the just and reasonable interconnection of large loads [00:13:12.08] to the grid or propose revisions to their tariffs. FERC also called balls and strikes [00:13:19.30] on the rules for new transmission services for co-located loads and directed PJM to explain [00:13:26.62] why it cannot make those services available more quickly. Beyond its support for exploring [00:13:33.98] co-located solutions and pushing for speed in resolution, FERC has also demonstrated [00:13:41.02] a willingness to consider innovative approaches that remove barriers to economic growth, including [00:13:48.54] studying generation and load together at a common point of interconnection, something [00:13:54.66] that Constellation has. Initiatives like these could create a meaningful pathway for customers [00:14:02.63] to access affordable solutions more quickly while maintaining reliability and supporting [00:14:08.71] broader economic development objectives. As these frameworks develop, the value of existing [00:14:16.15] generation and infrastructure will become increasingly apparent. Our fleet is uniquely [00:14:23.05] positioned to help meet these objectives by leveraging assets that are already operating, [00:14:29.43] connected to the grid, and capable of supporting growing customer demand more efficiently than [00:14:34.51] many other alternatives, even as we bring on new capacity to meet the growing demand. [00:14:41.87] Last week, PJM released proposals for the Reliability Backstop Procurement, or RBP, [00:14:49.69] and the Interim Resource Adequacy Service, or IRAS. While aspects of PJM's proposals [00:14:57.69] need clarification and further consideration, we are now on a path for resolution and certainty, [00:15:05.73] which will allow customers and suppliers to make investment decisions with greater visibility [00:15:11.73] and confidence in the market rules. PJM has also established a clear target of 6.8 gigWatts [00:15:19.73] for the RBP, and we are currently in the bilateral matchmaking process, which is intended to [00:15:27.21] pair customers with new supply and reduce the amount of capacity ultimately required [00:15:33.29] through certain central procurement. PJM has proposed conducting the procurement auction [00:15:39.13] this fall, with results expected by year end. Overall, we are pleased by the pace of progress, [00:15:46.13] as those who have followed PJM for years understand the speed at which FERC is requiring [00:15:52.13] PJM to move is unprecedented, and many of the concerns we raised earlier this year on [00:15:59.13] that front are being addressed. On a parallel path with the PJM and FERC processes, Constellation [00:16:07.13] and other stakeholders are urging EPA to make clear that any curtailments ultimately directly [00:16:15.13] directed by FERC tariffs should be excluded from the 50 hour annual limit for the use [00:16:21.13] of backup generators at data centers. This could unlock meaningful optionality for our

[00:16:27.13] data economy customers, while preserving reliability and reducing energy costs for all customers.
[00:16:35.13] Remember what we've discussed before. We have plenty of unused capacity in generation
[00:16:42.13] and in the wires grid over 99% of the hours of the year. We have a peak capacity concern,
[00:16:50.13] not an energy concern. The secret sauce here is to deal with the handful of peak hours
[00:16:57.13] that present reliability concerns, and at the same time to harvest the stranded capacity
[00:17:03.13] that exists every other hour of the year. If we do this right, then we can actually
[00:17:10.13] bring on these critical technologies and lower energy costs for everyday families
[00:17:16.13] and businesses. In conclusion, we still have some wood to chop here, but the direction
[00:17:23.13] and the speed are very promising. We urge PJM to keep it up.
[00:17:30.13] Turning to slide eight, I'm going to conclude my remarks on this slide and return back to
[00:17:35.13] the point that I made at the top about business values and our focus on communities. This
[00:17:42.13] slide talks about the fantastic progress we've made at Crane by creating a win, win, win
[00:17:49.13] for Pennsylvanians, the local communities, and our customer. I'm not going to drain
[00:17:55.13] the slide. You could read the words yourself. Instead, I want to draw a parallel between
[00:18:01.44] what it takes to build, operate, and start nuclear plants with what it takes to build,
[00:18:08.44] operate, and start data centers. And the basic point that I want you to consider is this.
[00:18:15.44] Like in the case of nuclear, the public reaction we are seeing to data centers in terms of
[00:18:21.44] moratoriums or opposition in places can be strong at times. No one can deny that. But
[00:18:30.44] as the Crane example shows, the concerns underlying the opposition to data centers are far from
[00:18:37.44] unsolvable. Indeed, I would suggest to you that if we can restart Crane at Three Mile
[00:18:44.44] Island and earn overwhelming political and public support, then we can certainly earn
[00:18:50.44] the public support to build a 21st century data economy in our communities. It comes
[00:18:58.44] down to the trust we earn with the right business values focused on making our communities
[00:19:05.44] better and stronger. It's all about the things on this slide, jobs, tax base, and community
[00:19:13.44] contribution. When it's done right, it works. With that, I'll turn it over to Shane.
[00:19:20.44] Thanks, Joe. Good morning, everyone. Turning to slide nine, we earned \$1.42 in GAF earnings
[00:19:28.44] per share and \$2.55 in adjusted operating earnings per share in the second quarter,
[00:19:35.44] which is 64 cents higher than the second quarter last year. The higher year-over-year quarterly
[00:19:41.44] results are primarily attributable to accretion from Calpine, higher capacity prices in PJM,
[00:19:48.44] and strong performance from our commercial business that has once again delivered value
[00:19:53.44] through higher realized customer margins and from portfolio optimization during periods
[00:19:58.44] of volatility. This strong performance has contributed to our improved full-year outlook,
[00:20:03.44] which I will cover shortly. Our favorable quarterly drivers were partially offset by
[00:20:09.44] higher planned nuclear refueling outage days and the timing of revenue recognition from
[00:20:14.44] the Illinois ZEC program. As we've discussed on prior second quarter calls, Illinois ZEC
[00:20:20.44] revenue timing can vary year to year. This quarter, we recognized \$85 million of banked
[00:20:26.44] credits compared with \$200 million last year. This timing item was already reflected in
[00:20:32.44] our 2026 guidance and has no impact on full-year results. This also reflects the final planning
[00:20:39.44] adjustment before the Illinois ZEC program ends in May of 2027. Slide 19 of the appendix
[00:20:45.44] provides additional details on the program. Moving to slide 10, our nuclear fleet delivered
[00:20:53.44] a 93% capacity factor and generated 40 terawatt hours of reliable low-carbon electricity while
[00:21:00.44] completing six planned refueling outages. As expected, the quarter included additional planned
[00:21:06.44] outage days, which reduced our capacity factor by 1.8% compared to the second quarter of
[00:21:12.44] 2025. Our 23-day average refueling outage duration in the quarter included the successful
[00:21:19.44] implementation of our turbine upgrade at Byron Unit 1, and even with that longer outage,
[00:21:24.44] the team still outperformed the industry average duration by 40%. This outstanding result in
[00:21:31.44] a quarter with elevated planned refueling activity speaks to the consistency, discipline,
[00:21:37.44] and expertise of our nuclear operations team that performs this work efficiently and, most
[00:21:42.44] importantly, safely. Turning to slide 11, we are raising our full-year adjusted operating
[00:21:51.68] earnings guidance range to \$11.50 per share to \$12.50 per share, up from our prior range
[00:21:59.68] of \$11 to \$12 per share. Strong commercial execution, combined with the benefits of our
[00:22:06.68] discipline capital allocation, gives us the confidence to raise the midpoint of our full-year
[00:22:11.68] guidance by 50 cents per share just halfway through the year. We will revisit our full-year
[00:22:17.68] outlook in the Q3 call as we put the summer behind us. We have reflected these updates

[00:22:23.68] in the modeling appendix on slide 25. Turning to slide 12, we continue to operate from a [00:22:32.15] position of financial strength, supported by our strong investment grade credit ratings. [00:22:36.15] That financial strength gives us flexibility to best serve our customers, invest in our [00:22:41.15] business, and also return capital to shareholders in a disciplined way. Since the first quarter [00:22:47.15] call, we returned just under \$2 billion of capital to our owners through share repurchases. [00:22:53.15] Together with the \$335 million we shared on the Q1 call, we have allocated about \$2.2 billion [00:23:00.15] to a creative share repurchase in the four months since our business and earnings outlook [00:23:05.15] at the end of March. We will continue to be opportunistic as we deploy the remaining \$2.8 [00:23:11.15] billion of available authorization. Today, after a very competitive process, we announced an [00:23:19.04] agreement with LS Power to sell the Brazos Valley Energy Center for \$860 million, or [00:23:25.04] about \$14.20 per kilowatt. It was great to see such a high level of interest for the [00:23:31.04] asset in spite of recent ERCOT weakness. It was clear from a very competitive process [00:23:37.04] that buyers recognized the long-term value of gas-fired assets with the potential for [00:23:42.04] even higher utilization rates. Once approved, this divestiture will satisfy the remaining [00:23:47.04] DOJ settlement obligations for the Calpine acquisition. In total, the assets that were [00:23:53.04] required to be divested by the DOJ are expected to generate approximately \$5.9 billion in [00:23:59.04] gross proceeds, which at a nearly \$1,200 per KW basis reflects a healthy premium to the [00:24:06.04] implied \$960 per kilowatt purchase price of the Calpine assets. Moving to slide 13. As [00:24:14.48] discussed in March, we see meaningful opportunities to grow our earnings and free cash flow over [00:24:19.48] time. We have already started translating a few of those growth levers into tangible [00:24:24.48] contributions. The sensitivities provided in March were informed by active discussions [00:24:29.48] across a diverse set of customers. Now that we have executed nearly one gigawatt of [00:24:35.48] nuclear PPAs within the range contemplated by this view, we thought it was worth revisiting [00:24:40.48] this table. While the agreements announced today have later start dates and are not expected [00:24:46.48] to materially impact 2029 earnings, they provide additional visibility into sustained growth [00:24:51.48] in our base earnings over time. Separately, we are also updating our 2029 capital allocation [00:24:58.48] sensitivity range to reflect the share repurchases we have completed to date. The updated [00:25:05.48] range now includes a floor of 20 cents per share with potential of upside of greater [00:25:10.48] than 75 cents per share. The low end reflects the benefit of the repurchases already completed, [00:25:15.48] while the high end reflects the meaningful optionality we still have under our buyback [00:25:20.48] authorization and our ability to continue deploying capital when we see attractive growth [00:25:25.48] opportunities. Last, I would also like to highlight an update to the nuclear production [00:25:31.48] tax credit as shown on slide 17 in the appendix. Following the IRS publication of the 2025 [00:25:38.48] inflation adjustment, we updated our forward PTC strike price assumptions. Incorporating [00:25:44.48] the 2.8% adjustment for 2025 and continuing to assume 2% inflation annually in 2026 and [00:25:52.48] beyond, the projected 2030 PTC strike price will increase from \$49.88 to \$50.88. [00:26:02.48] This change will increase our view of 2030 base earnings by approximately 30 cents per share. [00:26:08.48] More broadly, the PTC's inflation linkage continues to provide upside to our base earnings [00:26:15.48] outlook should inflation exceed our 2% long-term assumption and is another factor supporting [00:26:21.48] our goal of sustaining double-digit base earnings growth into the 2030s. With that, I'll turn [00:26:27.48] the call back to Joe. Thanks, Shane. To close out today in practical terms, we're seeing [00:26:33.48] the benefits of speed in the regulatory process. Our customers are gaining more certainty every [00:26:39.48] day, and we're hopeful that PJM and FERC could remain on track and deliver regulatory [00:26:45.48] clarity by year end. Our team also is actively engaged with customers and policy makers to [00:26:51.48] explore different options for connecting new large load to the grid, and our conversations [00:26:57.48] are strong. We're focused on what we do best, operating our assets at world-class levels, [00:27:03.48] helping our customers achieve their energy and sustainability objectives, and creating [00:27:09.48] long-term value for our owners, customers, and the communities where we live and work. [00:27:16.48] Thanks for your time today, and the team is now ready for your questions. [00:27:20.48] Thank you, ladies and gentlemen. If you have a question or a comment at this time, please [00:27:24.48] press star 1-1 on your telephone. If your question has been answered and you wish to move [00:27:28.48] yourself from the queue, please press star 1-1 again. We'll pause for a moment while we compile [00:27:32.48] our Q&A roster. Our first question comes from Nick Campanella with Barclays. Your line is open. [00:27:42.34] Morning, Nick.

[00:27:44.34] Hey, good morning. Thanks for taking my questions. Hey, so it's great to see the new long-term
[00:27:52.34] nuclear deal. I guess just, can you kind of talk about if it's acceptable in your terms
[00:27:57.34] of long-term value, just price and term? I guess, how do we think about the customer?
[00:28:04.34] It sounds like it's a hyperscaler, but is this just more of a traditional CNI, and is
[00:28:09.34] it one deal that's incremental to Walmart? Just how to think about that. Thanks.
[00:28:14.34] Yeah, look, I'm not going to, as I said, I'm going to adhere to the rule that we're going
[00:28:20.34] to let the customers explain their deals and announce them to the extent that they choose
[00:28:26.34] to. But Nick, it is consistent with our view of long-term value for the nuclear fleet.
[00:28:33.34] And I think this is one of many opportunities we're continuing to see in the market.
[00:28:39.34] Okay, great. And then you mentioned being engaged in the bilateral process in PJM. Can you
[00:28:49.42] just give detail, obviously, that would be new capacity that would net against the 6 gigawatt
[00:28:54.42] figure, but could hybrid deals be in play if you could work to address the non-peak issues
[00:29:03.42] and maybe talk about the 5 gigawatts of new capacity that could be eligible that you highlighted
[00:29:09.42] on the last call? Thank you. Yeah, I'm going to, Dan Eggers is kind of overseeing a bit of
[00:29:15.42] that, so I'm going to ask him to chime in here. But look, the process, the bilateral process is
[00:29:22.42] confidential, and we'll keep it that way. But you should assume that all of the opportunities we
[00:29:27.42] have to add megawatts are being talked to with customers in combination with our existing
[00:29:35.42] capabilities. Think about it. I mentioned this on the call. The best outcome for America is to take
[00:29:43.42] advantage of the stranded capacity that exists in the U.S. grid. That's wires and generation capacity.
[00:29:51.42] That's fastest, and it also reduces costs. How does it reduce costs? We know on the wire side, all
[00:29:58.42] the fixed cost elements of the system get spread out over more hours of usage. That brings the per
[00:30:05.42] hour usage rate down, so that's how it works on the wire side. On the energy side in competitive
markets,
[00:30:13.42] what it means is it puts downward pressure on capacity prices over time. Remember, the capacity
[00:30:19.42] price that generators seek in the PJM market or the so-called missing money is the difference between
[00:30:27.42] what it costs them to build and operate and what they're receiving in energy markets. So the more the
[00:30:33.42] existing generators are fully utilized by customers, the less dependent they are on a big capacity
[00:30:44.42] payment. We've seen that over the years. As energy and ancillary services go up, capacity prices go
[00:30:50.42] down. So all of the incentives here for everyday families and businesses are aligned with tapping into
[00:30:58.42] this stranded capacity. Our customers know that. At the same time, we do have to manage the peaks.
That
[00:31:05.42] could be managed with batteries, with demand response, with peaking resources. Other forms of
generation
[00:31:11.42] could be a part of that, but they still have to figure out not just the peak, but what they're doing every
[00:31:17.42] other hour of the year. That's where our fleet becomes extraordinarily valuable, because it's a fixed
[00:31:23.42] price, clean energy resource that they could count on for decades, and that's what they want. So this
kind
[00:31:31.42] of idea where we're trying to, you know, or this notion that existing and new are completely
[00:31:37.42] bifurcated and don't come together is just not the reality of the way customers look at their
[00:31:44.42] procurement strategies. The backstop auction is a part of that, but it's also part of what we're doing
every
[00:31:52.42] single day in our conversations with customers. Thanks for your thoughts. Dan, I said I was going to
hand it
[00:32:01.01] over to you, and then I went on and talked about it for two minutes. It was great. Nick, what Joe said
[00:32:07.01] is that when we put forward the megawatts and the interconnect queue, it was a full range anywhere
from
[00:32:13.01] up rates on the base load side to batteries to peakers. Our motivation here is consistently to provide
[00:32:19.01] our customers with what they need, right? The solutions are important. The bilateral market is clearly a
[00:32:25.01] place where we can get those things done. We'll see how that works out and what's left to address in
the
[00:32:30.01] RBP when we get there. Yeah, Nick, I'll just come back. Dan, thank you for that. I'll just come back,
Nick,
[00:32:35.01] to another big piece of this. I think what EPA ends up doing here and its clarification process of its
[00:32:41.01] rules for the backup generation at sites is really going to matter, because as resources have to be

[00:32:49.01] curtailed to address these few peak hours, the utilization of those backup generators may be the most
[00:32:55.01] effective way for us to kind of address the peak demand and do the things we're talking about in terms
of
[00:33:01.01] really taking advantage of the stranding capacity in the system and lowering prices for customers.
[00:33:07.01] Thanks for all your thoughts. One moment for our next question.
[00:33:13.89] Our next question comes from Steve Fleishman with Wolf Research. Your line is open. Hey, Steve,
good morning.
[00:33:22.68] Hey, good morning. So a couple of questions on the new contracts. So it's from nuclear. So
[00:33:30.68] most of your nuclear is in PJM. So should we assume these are in PJM? We're not really going to
pinpoint
[00:33:42.61] the origin, but yeah, you're right. Most of our stuff is in PJM.
[00:33:46.61] Okay. And just, you know, I think there have been some concern that, you know, with the Connected
Manager
[00:33:54.61] or IRS, like whether customers can contract for existing, like whatever contracts you have, have they
[00:34:02.61] kind of incorporated, you know, kind of whatever outcomes could come out of that?
[00:34:08.61] Yeah, Steve, I think I probably droned on about it a bit long just a moment ago, but just let me give you
a specific
[00:34:16.61] example. Let's suppose that in the context of Connected Manager, a customer is deciding to use
batteries
[00:34:24.61] or further rely on backup generation. They could do that and comply with what we see as the proposed
rules going
[00:34:36.99] forward. But they'll still need to buy, you know, power. They'll still need to buy energy really for all of the
other
[00:34:44.99] hours they're not managing, you know, the other 99%. And so that's where the existing resources are
going to be
[00:34:52.99] able to provide quick solution sets. Otherwise, you know, otherwise we'd be waiting for every data
center to wait for
[00:35:00.99] every, you know, for every megawatt to be in there connected and built. And if that's the case, we might
as well hand
[00:35:08.99] over the keys to China. We're never going to build this economy if the outcome is going to be we got to
wait for new
[00:35:15.99] power plants to be built before we can connect any data center. It's clearly not what FERC is thinking
about. It's
[00:35:21.99] clearly not what Secretary Wright is thinking about. We're trying to do is manage the peaks, a lot of
devices to do
[00:35:27.99] that. But the bedrock of building out at least this early phase of the data economy is going to rely
heavily, in my view,
[00:35:34.99] on existing generation as it has.
[00:35:36.99] Okay, then one more question. Just your range of the potential value of contracts. I mean, I think it's
\$20 to \$50 a
[00:35:48.97] megawatt hour, pretty wide. Can you give us any sense of how things are trending within that range?
[00:35:56.97] Hey, Steve, it's Shane. I mean, again, to the point of trying to protect customer sensitivity around the
exact pricing, we're
[00:36:07.80] going to keep that range as it is. I mean, I think it is important to note that when we provided that
disclosure in March, we were
[00:36:14.80] obviously talking with a number of different counterparties, and the transactions all fit that profile. So I
think we're
[00:36:20.80] comfortable with keeping that sensitivity as it is.
[00:36:23.80] Okay, great. Thank you.
[00:36:27.62] Thanks, Steve.
[00:36:29.62] One moment for our next question. Our next question comes from David Arcaro with Morgan Stanley.
Your line is open.
[00:36:37.95] Morning, David.
[00:36:40.48] Hey, thanks so much. Good morning. I was wondering if you could, maybe shifting over to the ERCOT

market, wondering if you could give

[00:36:47.48] your view on the Batch Zero process. Do you have projects that you're partnering with in that program, and curious how you see

[00:36:54.48] that evolving from here?

[00:36:57.48] Yeah, let me turn it over to Dave Dardis for comments on that. The answer is yes. We also have, by virtue of the acquisition of

[00:37:06.48] CalPyne, some projects that were really probably first movers, I think, in Texas, where we've gotten through necessary approvals,

[00:37:15.48] and we're proceeding with clients on it. But some of our sites are in the Batch Zero process, and so we're evaluating what it

[00:37:25.48] means to answer the questions presented by the governor's letter, and we're hoping to see activity here from ERCOT and the

[00:37:33.48] Texas PUCT to clarify those things soon. David, anything to add?

[00:37:37.48] I guess all I would add is, I mean, Governor Abbott has been very clear that he's a champion for responsible data center

[00:37:43.48] development in the state of Texas. He understands its importance for Texas competitiveness and ultimately American

[00:37:49.48] competitiveness, so I don't think anything has changed there where he has said, you know, Texas should be the epicenter of AI. I don't

[00:37:56.48] think his view has changed on that, but like all these folks, particularly coming into the midterm elections, they want to be

[00:38:03.48] responsive to their constituents, and Governor Abbott has asked for some pretty reasonable information to be included as part of

[00:38:09.48] Batch Zero. We think all that information can be provided quickly, and we don't think it should be a meaningful delay in ultimately moving

[00:38:16.48] through that process and getting answers quickly. So we see this as a temporary measure here that we think is manageable by the

[00:38:23.48] industry, and we look forward to working with the governor and the PUCT.

[00:38:27.48] And David, I think some of the answers here are going to be pretty darn good. I, you know, there's some fanciful kind of numbers

[00:38:35.48] out there about the use of, for example, water and things. Some of the solutions that we're seeing for water usage from some of our

[00:38:42.48] clients are, you know, put water consumption on the level of a restaurant or a large store for data centers. So I think it's going to be an

[00:38:49.48] eye opener to people. I think they're the right questions to be asked. Not all data centers are the same, so maybe this is intended to

[00:38:57.48] ferret out those that have been less efficient with water resources, but I think there's a lot of good answers out there.

[00:39:04.48] Absolutely. Yeah, it's really helpful. Thanks. And curious if you could also maybe give your view on the outlook for the, just on the power

[00:39:13.47] market side of things for ERCOT, outlook for power prices and spark spreads from here. You know, the market's been under pressure. And curious

[00:39:21.47] your view on that, and maybe also just the battery storage, how that's impacting the market from here, too.

[00:39:29.47] Yeah, thanks for the question, David. This was one that came up last quarter, and I think Jim and Andrew talked a bit about it. You know, what we're

[00:39:37.47] seeing in Texas is what we fully anticipated. The battery storage and other things you're talking about started earlier, and they're arriving on the grid

[00:39:47.47] earlier than the load is. And so we talk a lot about data centers in Texas, but if you really look at the data centers in Texas, they're

[00:39:54.47] still at some stage of construction and not on the grid. So, you know, Andrew, I think, was the one that mentioned, we would expect to see,

[00:40:02.47] depending on weather, and if you don't have the right weather, you're not going to see a lot of price action, but if you look at the data centers

[00:40:10.47] in Texas, they're still at some stage of construction and not on the grid. So, you know, Andrew, I think, was the one that mentioned we would

[00:40:19.47] see, depending on weather, and if you don't have the right weather, you're not going to see a lot of price action in Texas, and that's what we've seen this year.

[00:40:26.47] It was completely, completely expected by us at Constellation, completely expected by Calpine, and we positioned ourselves in the market accordingly.

[00:40:36.47] I think the market will start to tighten up as the data centers get built, and you start to see the market come into more or less equilibrium.

[00:40:47.99] Thanks so much.

[00:40:48.99] One moment for our next question. Our next question comes from Jeremy Tonet with JPMorgan Securities. Your line is open.

[00:40:59.09] Hi, Jeremy. Good morning.

[00:41:01.09] Hi, Jeremy. Good morning.

[00:41:02.09] Hi, thanks.

[00:41:03.09] Good morning to you.

[00:41:04.09] Just want to turn to slide 13, if I could, and looking at the earnings in pre-cash global growth opportunities in 2019, and I see the capital allocation is bolded on the table.

[00:41:16.09] I think that might be new this quarter.

[00:41:19.09] I saw the share of purchases there, but just wondering, on the growth investment side, is there anything kind of new to think about with regards to this table here?

[00:41:30.09] Hey, Jeremy. It's Shane.

[00:41:32.09] So in the initial disclosure back in March, we didn't give a four.

[00:41:37.09] We kind of gave a 50 cent plus as an upside.

[00:41:41.09] And so what the 20 cent as a four is meant to represent is the progress we've made in the last four months from those accretive \$2.2 billion of buybacks.

[00:41:51.09] So we wanted to establish that four.

[00:41:53.09] Naturally, that raises kind of our view of the higher end, and we'll see what's beyond.

[00:41:57.09] From a growth angle, obviously, we continue to explore, but there's nothing that we've disclosed that would directly inform that range at this time.

[00:42:05.09] Got it. That's helpful. Thank you for that.

[00:42:08.76] Thank you for that. And then just wondering about customer conversations in general, how the tone might have changed over time here.

[00:42:16.76] PJM, you seem some kind of improvements in energy prices, capacity prices later dated here.

[00:42:23.76] And wondering how that's influenced conversations, even with existing large load and the interest in de-risking their power exposure, price exposure over time.

[00:42:34.76] Curious how conversations might have changed over time.

[00:42:38.76] Yeah, Jeremy, I feel like I've been talking about it for 20 years, but it's probably more like two years.

[00:42:45.76] The worst thing for deal execution is ambiguity and uncertainty.

[00:42:51.76] I think I've said, and for those of you who've been on our calls for a while, remember we were talking about, oh, which components of the transmission service should large load pay and be excused from.

[00:43:03.76] And I think I offered, you know, you've got to just tell these people what it is and then they can plan around it.

[00:43:11.76] I think what we'll see is very shortly the entirety of the data economy investing what could be upwards of a trillion dollars in infrastructure annually when you put all the pieces together.

[00:43:23.76] People want to get this stuff going.

[00:43:27.76] You've read the Morgan Stanley report the other day.

[00:43:31.76] The returns for the investments they're making in data economy and these AI models are proving out.

[00:43:38.76] What our customers want is to understand the rules of the road and then they'll manage around that.

[00:43:45.76] Some things that, you know, need to be done better.

[00:43:49.76] PJMs connect and management program needs a lot of improvement.

[00:43:54.76] But the reality is at the end of the day, the rules and rule clarity are going to be the thing that are going to encourage deal flow for us.

[00:44:04.76] And, you know, completion of these nation critical projects for these large customers.

[00:44:10.76] So just over the course of this year as we've been, you know, when we started the year, we really

started from a position where the executive order that the president signed with the hyperscalers and the pledges they signed.

[00:44:23.76] People were trying to figure out what that would look like in actual practice.

[00:44:28.76] A lot of really good work has been done.

[00:44:30.76] And although we don't agree with everything that PJM has proposed, we applaud them for providing clarity that is needed here.

[00:44:38.76] And quite naturally, you know, that is fueling kind of a resumption of contracting activity.

[00:44:45.76] And I believe that once we do get clarity, we're going to see here in PJM what we've seen in many places where deal flow will, you know, kick off with a bit of a bang.

[00:44:56.76] Got it. That's helpful. I'll leave it there. Thank you.

[00:45:02.36] One moment for our next question. Our next question comes from Sophie Karp with KBCM. Your line is open.

[00:45:12.49] Hi, good morning. Congratulations on a good quarter and announcements here and thank you for taking my question.

[00:45:23.19] I was wondering, what do you guys see as the next step in the co-location process in the PJM? Will there be like a definitive document coming out of the PJM that will be the final and authoritative, I guess, document in this process that will establish the final clarity for everyone?

[00:45:42.19] And when will that be? Yeah, Sophie.

[00:45:45.19] And as you know, Constellation has been turning up the heat to get that moving more quickly.

[00:45:51.19] We've seen some extensions of time to answer that.

[00:45:54.19] In short, we think that we're going to see rural clarity in the first to second quarter of twenty seven in terms of co-location, far ahead of where PJM might have been before where they were targeting twenty twenty nine.

[00:46:11.19] So this is an area where FERC has put some good pressure on PJM and the RTOs to provide some clarity.

[00:46:18.19] We have some ideas.

[00:46:20.19] One of those things I mentioned in my prepared remarks was this notion of modeling load and generation at the same point of interconnection.

[00:46:29.19] So they're really what I'm talking about is adding batteries, adding other generation resources at existing operating generating facilities and then co-locating a load there.

[00:46:41.19] So you might have a data center next to an existing power plant, but that power plant has supplemental capacity capability through the incorporation of batteries and other devices.

[00:46:52.19] We think those hybrid solutions of mixing new capacity resources, existing generation and co-locating that with load, that's the promise we see going forward.

[00:47:04.19] We still, you know, that's moving a little bit slower still than we wanted, but a lot faster than was anticipated at the beginning of the year.

[00:47:12.19] But in answer to your question, I think with the 90 day extensions, we're expecting response from PJM here in about the November time frame.

[00:47:21.19] I'm looking at David. Does that sound right, David?

[00:47:23.19] That's right.

[00:47:24.19] And then an order from FERC in the first to second quarter of next year.

[00:47:29.19] Thank you. Great.

[00:47:31.19] Great. And then just a higher level question.

[00:47:35.19] You've been allocating capital to share buybacks quite a bit and that makes sense given the valuation and the opportunistic nature of that.

[00:47:44.19] How do you think about jumpstarting the cycle of investing organically into maybe new builds, in addition to the nuclear restart you're working on?

[00:47:57.19] Is there a place in the U.S. that you think is where the economics work for that right now?

[00:48:02.19] You know, we're having some good conversations in New York about the future of nuclear, but there's nothing right now that I would describe as imminently on the horizon for investment in new nuclear.

[00:48:16.19] What you're seeing us do and what you'll see us continue to do here is to prepare our sites for new nuclear development because that work's got to get done anyway.

[00:48:26.19] The permitting, the early site permits that are needed.

[00:48:29.19] So we want to, when we've been able to figure out the construction schedule and pricing and the customers on the other side of that, we want to have a bunch of different locations where customers could come.

[00:48:44.19] New York is a very exciting opportunity for us and that's something we're pursuing with Governor Hochul and her administration.

[00:48:51.19] But it's not yet going to show up on financial disclosures for capital.

[00:48:56.19] It's not that imminent.

[00:48:57.19] Got it.

[00:48:59.19] Thank you.

[00:49:00.19] That's all for me.

[00:49:01.19] You bet.

[00:49:02.19] One moment for our next question.

[00:49:04.19] Our next question comes from James to West with the Mills Research.

[00:49:10.04] Hey, good morning, Joe.

[00:49:12.04] Hi, James.

[00:49:14.04] Joe, you've been kind of somewhat of a lone but kind of clarion voice here in the market about some of the stranded generation assets or underutilized assets while a lot of people have been beating the drum on new generation.

[00:49:31.04] And I think you've laid out your reasons why already.

[00:49:35.04] I'm curious from the customer standpoint, as you're talking to them about this latent capacity, are they, what's their view on that?

[00:49:45.04] Are they willing to say, hey, that's here.

[00:49:48.04] It's ready to go.

[00:49:49.04] We'll build infrastructure next to it or near it.

[00:49:53.04] And then are they also talking about, hey, are you willing to build a little more capacity?

[00:49:57.04] But we'll start with the existing capacity.

[00:49:59.04] Kind of how is that conversation evolving with the customers?

[00:50:02.04] Hey, definitely all of the above.

[00:50:05.04] You know, one of the things that really has just been remarkable is the level of sophistication that our clients now possess about the grid is, you know, as good as, you know, the energy companies themselves.

[00:50:21.04] That, quite honestly, not to insult anybody, wasn't true two years ago.

[00:50:26.04] Sure.

[00:50:27.04] So this kind of combination of resources and what batteries could do, what demand response could do, all of our sophisticated customers understand that.

[00:50:38.04] And, you know, I appreciate you give me a bit of a shout out for being a clear voice.

[00:50:43.04] But I think the most powerful voice on this subject has actually been Department of Energy Secretary Chris Wright, who's been saying exactly what I've said on these calls now for three years.

[00:50:55.04] And that's been now backed up by study after study from Duke and Brattle and many others who have talked about the same thing.

[00:51:02.04] So sometimes when we talk about capacity, it is for the lay person easy to confuse that with energy.

[00:51:12.04] And it gets really complicated pretty quickly in our business.

[00:51:15.04] But our clients understand it.

[00:51:17.04] And what they seek from us is all of the above, really.

[00:51:22.04] I think, you know, you're seeing that basically in our contracting where we're re-licensing facilities that are adding life.

[00:51:29.04] We're talking about upgrades with clients.

[00:51:32.04] That's exciting.

[00:51:33.04] You saw that in the Walmart deal.

[00:51:35.04] But it doesn't operate to the exclusion of recognizing that the existing megawatts have an important role to play in this ecosystem.

[00:51:44.04] Gotcha.

[00:51:46.44] And then you mentioned batteries as well.

[00:51:49.44] Is the battery technology evolved to the point now where real significant long-duration storage is available to help backstop the grid?

[00:52:01.44] I think batteries are already doing that.

[00:52:05.44] We're talking a bit of that about the effect we're seeing in Texas of batteries.

[00:52:11.44] Now, that's, you know, when we talk long-duration, you've got to get pretty into the weeds here.

[00:52:19.44] But I'm talking about it just to be clear about four-hour batteries.

[00:52:22.44] And we continue to think that four-hour batteries have a very big role.

[00:52:26.44] And as you know, Calpine has been one of the U.S. leaders in terms of the development and integration of those batteries.

[00:52:33.44] And now at Constellation, we're drawing on that substantial expertise.

[00:52:39.44] Got it. Thanks, Jeff.

[00:52:40.44] Thank you.

[00:52:42.44] One moment for our next question.

[00:52:44.44] Our next question comes from Julian Dillon-Smith with Jeff Rees.

[00:52:50.96] Your line is open.

[00:52:52.96] Morning, Julian.

[00:52:53.96] Hey, good morning, team.

[00:52:54.96] Hey, thanks for taking the time.

[00:52:56.96] Joe, team.

[00:52:57.96] Hey, look, a couple of clarifications here.

[00:52:59.96] Starting with bilaterals if you can, I know you said it was confidential, but can you speak a little bit to the timing, right?

[00:53:05.96] Inasmuch as obviously the RVP is somewhat specific on when it goes down,

[00:53:10.96] how do you think about the timeline here inasmuch as where are you in those negotiations vis-a-vis this potential RVP coming up in the next couple of months?

[00:53:18.96] Is it lagged by a couple of months here thereafter or is it even prior?

[00:53:22.96] How do you think about that and the considerations that may be playing out therein?

[00:53:27.96] Yeah, Julian, and I'm sorry I had intended to be clear earlier, but I think the RVP is one avenue.

[00:53:38.96] But it is not the exclusive avenue for customer conversations.

[00:53:43.96] And indeed, I think customers will consider whether they want to participate in that or do something completely separate, bilaterally separate,

[00:53:51.96] as they've done now for a couple of years before this PJM process was even dreamed up.

[00:53:57.96] So I think kind of all of that is playing out.

[00:54:00.96] What customers want to understand is what I'm doing in contracting space,

[00:54:06.96] going to meet the requirements in a future PJM rule such that I could be assured that I'm compliant, right?

[00:54:15.96] And I understand what my backup and curtailment responsibilities might be.

[00:54:21.96] So as we get to some clarity here in terms of what PJM is proposing, they're able to do that.

[00:54:29.96] They're able to say, yeah, I don't know exactly yet.

[00:54:32.96] It's not been rubber stamped by FERC.

[00:54:35.96] Rubber stamp is a bad phrase here, but it hasn't been approved by FERC.

[00:54:41.96] But I understand what PJM is proposing.

[00:54:44.96] And now I could start crafting a strategy to meet any requirements that come out of that.

[00:54:51.96] The backstop is a piece of that.

[00:54:53.96] But it may not be that each client is going to depend on the backstop.

[00:54:58.96] It's just one other avenue for meeting the requirements.

[00:55:03.96] Hey, Julian, if I would add.

[00:55:04.96] Totally understand.

[00:55:06.96] Hey, Julian, contracts today, those are signed contracts.

[00:55:09.96] So if the question was, are we dependent upon something on the FERC decisions or PJM decisions,

[00:55:16.96] these deals are not dependent upon those outcomes.

[00:55:19.96] Yeah, sorry, I didn't know if that was your question.

[00:55:21.96] No, no, that part was clear.

[00:55:22.96] No, no, no, that wasn't.

[00:55:24.96] But I appreciate you confirming it regardless, and I appreciate it.

[00:55:27.96] Actually, if I can pivot real quickly to the other side of the equation.

[00:55:31.96] Obviously, Illinois has a lot of interest.

[00:55:33.96] They've kicked off a process on nuclear procurement here this year.

[00:55:36.96] You all are an obvious counterparty here.

[00:55:38.96] And I suspect you don't want to negotiate this on the call per se.

[00:55:41.96] But can you speak to the timeline around what the state's looking to do on procurement here

[00:55:46.96] in as much as, from what I understand, that includes upgrades as well as new nuclear?

[00:55:51.96] How would that timeline play out in tandem with anything else you have going on?

[00:55:55.96] And obviously, you have a CMC expiration here next year.

[00:55:58.96] Any considerations therein you'd care to share, given where we stand today,

[00:56:02.96] alongside the state's wider new nuclear emissions?

[00:56:06.96] Well, I think the state has a process here where they're going to do an IRP

[00:56:11.96] and then ultimately a procurement plan.

[00:56:14.96] And we'll have a voice in those things.

[00:56:16.96] We don't have anything separately that we're negotiating with the state of Illinois to be absolutely clear.

[00:56:23.96] We'll see what they come up with with the IRP.

[00:56:25.96] We think New York is a wonderful template for what Illinois should be looking to do.

[00:56:34.17] Yeah, no, that makes tons of sense.

[00:56:36.17] Looking forward to it.

[00:56:37.17] All right, guys, thanks for the time.

[00:56:38.17] Good luck.

[00:56:39.17] Thank you, Julian.

[00:56:40.17] Thanks, Julian.

[00:56:41.17] Ladies and gentlemen, this has concluded the Q&A portion of today's conference.

[00:56:44.17] I'd like to turn the call back to Joe for any further remarks.

[00:56:47.17] Well, again, thanks for your continued interest and consolation.

[00:56:51.17] Our people had really a spectacular quarter.

[00:56:54.17] We look to finish off and have a spectacular year the rest of the way.

[00:56:59.17] I want to wish you all a safe rest of the summer

[00:57:01.17] and look forward to getting together at the end of the third quarter.

[00:57:04.17] Thanks again.

[00:57:05.17] Ladies and gentlemen, thank you for your participating in today's call.

[00:57:08.17] This concludes the program.

[00:57:09.17] You may now disconnect.

[00:57:10.17] Everyone have a great day.